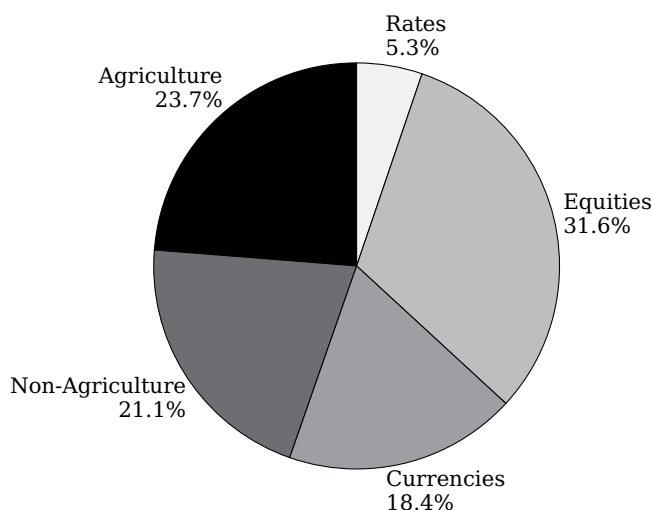


TABLE 6.10 Initial sector allocation 2004

	Long	Short	Total
Agriculture	6	3	9
Non-Agriculture	8	0	8
Currencies	6	1	7
Equities	12	0	12
Rates	2	0	2
Total	34	4	38

**FIGURE 6.13** Sector allocation 2004.

Our third year started well enough, with a sudden gain of 15% by mid-February. This is when you would start doing the really unhelpful maths on how much money you would make if you continue like that the whole year, and you'll probably start picking out your BWM and your Rolex. But the markets are rarely that cooperative and by the end of February, you lost all your profits in just a matter of days.

After that emotional ride, you suddenly see profits once more, and fast. From being back at the zero line, we see the gains take off like a rocket ship, and after only brief pauses we reach a high of nearly +30% on the year by April. Thirty per cent in four months. If we compound at that rate, we'll end up at 120% on the year, and get paid millions in performance fees. It looks like yet another success year!